



كلية الاقتصاد

التحليل المالي

دورات 2026 الأولى مع السلم

السنة/الفصل: الرابعة/الثاني

عدد الصفحات: 6



دورة 2025 - الفصل الأول مع السلم

Questions 1: Answer with true or false to the following statements: (20 marks)

- 1- Management uses financial statements to meet disclosure requirements.
- 2- The cost of supplying accounting information includes its preparation and dissemination.
- 3- Comparable global accounting standards are not desirable.
- 4- Statement of stockholder's equity reports on a company's financial position at a point in time.
- 5- Income statement accounts are called "permanent accounts".
- 6- Companies require a degree of liquidity to operate effectively.
- 7- Equity is often referred to as a residual interest.
- 8- Financing activities are the drivers of shareholders' value.
- 9- Operating expense margin measures general operating costs for each sales dollar.
- 10- All turnover ratios have sales (or cost of sales) in the denominator.

Question 2: The followings are the balance sheet and income statement for Netflix Inc.

Netflix Inc. Balance Sheet (\$million)	Dec. 31, 2025	Dec. 31, 2024
Assets		
Current assets		
Cash and cash equivalents	20427	18027
Short-term investments	18127	8373
Accounts receivable	13253	11346
Inventories	13919	12100
Deferred tax assets	14227	9199
Total current assets	79953	59045
Property, plant and equipment, net	43827	47673
Intangible assets	35154	26385
Total assets	\$ 158934	\$ 133103
Liabilities and stockholder's equity		
Current liabilities		
Short-term debt	12059	9951
Accounts payable	12027	10917
Accrued compensation and benefits	13939	13890
Total current liabilities	38025	34758
Long-term debt	33290	26247
Long-term deferred tax liabilities	10525	6152
Stockholders' equity		
Common stock and capital in excess of par value	42864	37932
Retained earnings	34230	28014
Total stockholders' equity	77094	65946
Total liabilities and stockholders' equity	\$ 158934	\$ 133103

Netflix Inc. Income Statement For 12 months ended Dec.31, 2025 (\$million)	
Sales	\$118060
Cost of sales	75000
Gross Profit	43060
Research and development	8333
Selling, general and administrative	6500
Depreciation	2678
Operating income	25549
Interest income	2100
Interest expense	1900
Other expense	345
Income before tax	25404
Provision for tax	2320
Net income	\$23084

Assume Netflix Inc. marginal tax rate is 37%. The company's stock closed at \$ 95 on 31s Dec 2025. Shares issued and outstanding, 865 at the same date. Compute the following:

- 1- Return on assets – Return on equity - Financial leverage -Operating expense margin- Profit margin (20 marks)
- 2- Cash conversion cycle in 2025. (20 marks)
- 3- Return on net operating assets. Compare it with return on assets and comment on the difference. (20 marks)
- 4- Compute and interpret Altman Z-Score for Netflix Inc. for the year ended Dec 31, 2025. (20 marks)

Royal Library

Question 1 (20 mks -2 mks each)

- 1- True
- 2- True
- 3- False
- 4- False
- 5- False
- 6- True
- 7- True
- 8- False
- 9- True
- 10- False

Question 2 (80 mks)

1- Return on assets = Net income/ Average total assets (2 mks)

$$= 23084 / ((158934 + 133103) / 2) = 23084 / 146018.5 = 15.8\% \text{ (2 mks)}$$

Return on equity = Net income/ Average shareholder's equity (2mks)

$$= 23084 / ((65946 + 77094) / 2) = 23084 / 71520 = 32.27\% \text{ (2 mks)}$$

Profit margin = Net income/Sales (2 mks)

$$= 23084 / 118060 = 19.55\% \text{ (2 mks)}$$

Financial leverage = Average total assets/ Average shareholders' equity (2 mks)

$$= ((158934 + 133103) / 2) / ((65946 + 77094) / 2) = 146018.5 / 71520 = 2.04 \text{ (2 mks)}$$

Operating expense margin = Operating expenses/Sales (2 mks)

$$= (8333 + 6500 + 2678) / 118060 = 17511 / 118060 = 14.83\% \text{ (2 mks)}$$

2-

a- Days sales outstanding DSO = $365 * (\text{Average account receivable} / \text{Sales})$

$$= 365 * ((13253 + 11346) / 2) / 118060 = 365 * 12299.5 / 118060 = 38.03 \text{ days (5mks)}$$

Days inventory outstanding DIO = $365 * \text{Average inventory} / \text{COGS}$

$$= 365 * ((13919 + 12100) / 2) / 75000 = 365 * 13009.5 / 75000 = 62.3 \text{ days (5mks)}$$

Days payable outstanding DPO = $365 * \text{Average account payable} / \text{COGS}$

$$= 365 * ((12027 + 10917) / 2) / 75000 = 365 * 11472 / 75000 = 55.8 \text{ days (5mks)}$$

Cash Conversion Cycle CCC = DSO + DIO - DPO

$$= 38.03 + 62.31 - 55.8 = 44.51 \text{ days (5mks)}$$

3- Average net operating assets Average NOA

$$\text{Operating assets 2024} = 11346 + 12100 + 9199 + 47673 + 26385 = 106703 (2 \text{ mks})$$

$$\text{Operating liabilities 2024} = 10917 + 13890 + 6152 = 30959 (2 \text{ mks})$$

$$\text{Net operating assets 2024} = 106703 - 30959 = 75744 (1 \text{ mks})$$

$$\text{Operating assets 2022} = 13253 + 13919 + 14227 + 43827 + 35154 = 120380 (2 \text{ mks})$$

$$\text{Operating liabilities 2022} = 12027 + 13939 + 10525 = 36491 (2 \text{ mks})$$

$$\text{Net operating assets 2022} = 120380 - 36491 = 83889 (1 \text{ mks})$$

$$\text{Average net operating assets} = (75744 + 83889) / 2 = 79816.5 (1 \text{ mks})$$

- Return on net operating assets RNOA

$$\text{Net operating profit before tax NOPBT} = 25549 (1 \text{ mks})$$

$$\text{Tax shield} = (2100 - (1900 + 345)) * 37\% = 145 * 37\% = 53.65 (1 \text{ mks})$$

$$\text{Tax on operating profits} = 2320 + 53.65 = 2373.65 (2 \text{ mks})$$

$$\text{Net operating profit after tax} = \text{Net operating profit before tax NOPBT} - \text{Tax on operating profits} = 25549 - 2373.65 = 23175.35 (1 \text{ mks})$$

$$\text{Return on net operating assets RNOA} = 23175.35 / 79816.5 = 29.04\% (1 \text{ mks})$$

It's noticeable that the return on total assets is lower than the return on net operating assets which means that nonoperating activities creates a drag on overall return to shareholders.

This insight is lost with the traditional DuPont analysis) (3 mks)

4- Altman z-score 2023

Variable	Weight	Score
$WC/TA = (79953 - 38025) / 158934$ *	1.2	= 0.32 (3 mks)
$RE/TA = 34230 / 158934$ *	1.4	= 0.30 (3 mks)
$EBIT/TA = 25549 / 158934$ *	3.3	= 0.53 (3 mks)
$MVE/TL = (865 * 95) / 81844$ *	0.6	= 0.60 (3 mks)
$SALES/TA = 118060 / 158934$ *	0.99	= 0.74 (3 mks)
Z-Score		= 2.49 (2 mks)

Netflix Inc.'s Z-score is greater than 1.8 but less than 2.99 which means the company is in gray area_ company is exposed to some risk of bankruptcy, caution is advised. (3 mks)